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Broadcom's Adjusted Profit Beats Expectations

But the newly expanded chip maker swung to a loss in the latest quarter

By Tess Stynes

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The Broadcom office in Rancho Bernardo, Calif., on May 12, 2016. blake/Reuters MIKE BLADE/REUTERS

Broadcom Ltd. AVGO **-0.74%** ▼ (AVGO) swung to a loss in the latest quarter, but its adjusted earnings—which excludes acquisition and restructuring-related expenses, among other items—beat expectations.

The company's shares, which hit an all-time high on Tuesday, fell 2.1% to $173.40 in recent after-hours trading, though the chip maker's revenue outlook for the current quarter topped Wall Street estimates.

Chip maker Avago Technologies Ltd. completed its roughly $37 billion acquisition of rival Broadcom Corp. in February, with the combined company retaining the

Broadcom name and AVGO ticker symbol.

The deal, one of the largest mergers in the chip sector, brought together complementary product lines, including chips that handle different chores in smartphones from Apple Inc. and Samsung Electronics Co. Since the combination, Broadcom also is less reliant on the smartphone sector, where sales growth has been slowing.

Earlier on Thursday, research firm International Data Corp. again cut its global smartphone shipment outlook for 2016, mostly on expectations that sales would decline this year in developed markets, including the U.S. and Western Europe.

Broadcom, in its second quarter as a merged company, also declared a quarterly dividend of 51 cents a share, an increase of a penny a share from its previous quarterly payout to shareholders.

For the current quarter, Broadcom projected net revenue of $4.09 billion, plus or minus $75 million. Analysts polled by Thomson Reuters expected revenue of $4.06 billion.

For the period ended July 31, Broadcom reported a loss of $298 million, or 75 cents a share, compared with a year-earlier profit of $240 million, or 91 cents a share. The latest period includes results of the combined company, while the year-earlier period relates solely to Avago.

Excluding acquisition and restructuring-related charges and other items, adjusted per-share earnings from continuing operations rose to $2.89 from $2.24. Analysts expected per-share profit of $2.77.

Revenue more than doubled to $3.79 billion. Net revenue from continuing operations also more than doubled, reaching $3.8 billion—in line with Broadcom's projections.

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